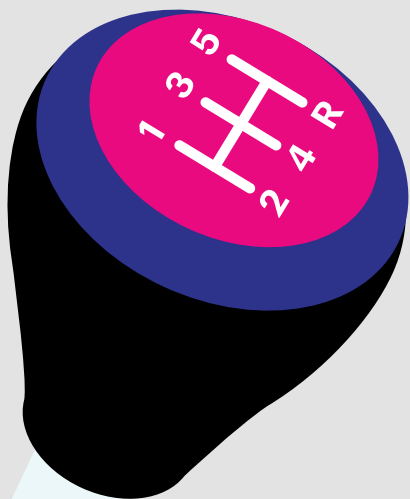




**CORONAVIRUS,
CHIP
SHORTAGES,
CONTAINER
COSTS,
COMMODITY
PRICES AND
NOW THE
CONFLICT IN
UKRAINE: AUTO
ANCILLARY
MAKERS BLAME
THE '5Cs' FOR
THE ONGOING
SLUMP IN THE
INDUSTRY**

lenges, Jain wants to focus on the bright side. Now that entry-level segments are suffering, he is looking to diversify into a new product portfolio with a focus on premium segments. "I'm optimistic we'll have double-digit growth and things are expected to ease off in the next fiscal. We are looking at new segment penetration opportunities with electric vehicles (EVs), automatic transmission, light weighting, LED penetration becoming the norm," he says.

Industry body ACMA (Automotive Component Manufacturers Association of India) says it's a question of viability and not just prices. "The war is into several weeks and increase in prices of commodities like steel, which makes up 60-70 per cent of the total raw material that we consume, will definitely impact the profitability of the industry and the viability of the smaller players. Smaller companies will not be able to stock up as much as the bigger ones. It's a concern for the entire industry," says Vinnie Mehta, Director General of ACMA.

Just when the sector was on the cusp of recovery from the pandemic, auto component makers say the conflict has slowed the process further. "Every company will have a different way of dealing with the crisis. You'll have to be very nimble in negotiating with suppliers. The entire supply chain will have to be resistant according to the changing times and schedules," says Mehta.

Mehta is right. Every company is looking to come out of the crisis in its own manner. Minda Corporation, for example, is focussing hard on strengthening relationships with global chip suppliers and distributors to improve allocations. "We are working to have a robust inventory management system. For semiconductor chips,

schedule/forecasts are released to our distributors/suppliers for 12-15 months. Wherever required, non-cancellable and non-revocable orders are also released," says N.K. Modi, Executive Director of Minda Corporation. The \$445-million group is known for manufacturing electronic and mechanical security systems, telematics, wiring harnesses, sensors, etc. Modi says the company is facing certain supply chain and logistical challenges right now, particularly while importing parts other than electronics. "Keeping those in mind, we are placing orders with suppliers for N+4 months, and have also increased the inventory levels. These are all business decisions taken to ensure and meet OEM customer needs. To further improve coordination and management, tripartite meetings are held with our suppliers and customers from time to time, which has certainly helped," he adds.

Steel and aluminium prices have already increased by more than 15 per cent and 34 per cent, respectively, and Brent crude, upwards of 32 per cent. This, the industry feels, will also hit the consumer through increase in prices of vehicles. "How long can you sustain when input prices are so high? Managing supply chain becomes unviable if it's not passed on to the consumer. It could have a detrimental impact on the demand, and that's definitely a concern," says Mehta. Globally, several big auto manufacturers such as Mercedes-Benz have already started announcing price hikes. Toyota, for example, has said it will scale down production by about 20 per cent due to shortage of semiconductor chips, while by the end of the third quarter of 2021-22, Maruti Suzuki had more than 240,000 pending customer